AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX EXAMINATION

MAY 2016

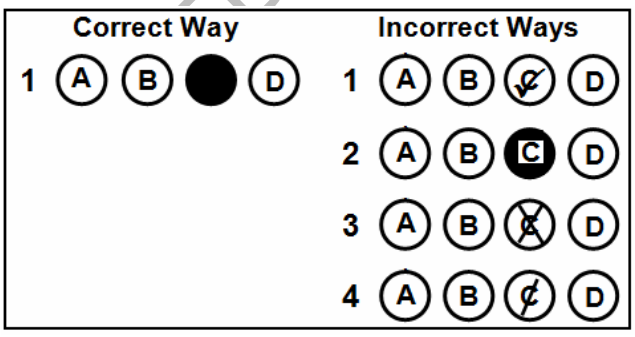
Principles of Accounting Paper I

Time: 35 minutes Marks: 25

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 25 only.
4. In each question there are four choices A, B, C, D. Choose ONE. On the answer grid black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.
8. Some new terminologies have been introduced and mentioned in the brackets. The old terminologies have also been mentioned in the paper for your assistance.

1. Which of the following is classified as a liability by a business?

   A. Credit sales
   B. Tax paid in advance
   C. Long term loan to employee
   D. Amount owing to credit suppliers

2. The CORRECT form of accounting equation is

   A. capital – assets = liabilities
   B. capital + assets = liabilities
   C. assets – liabilities = capital
   D. assets + liabilities = capital

3. Javed had the following assets and liabilities.

Particulars	Amount (Rs)
Equipment	10,000
Motor vehicle	8,000
Bank (credit balance)	2,000
Accounts payable (trade payable)	7,000
Accounts receivable (trade receivable)	5,000
Inventory	6,000

   The amount of Javed's capital from the above information will be

   A. Rs 20,000
   B. Rs 24,000
   C. Rs 26,000
   D. Rs 30,000

4. Which of the following will be recorded as a credit entry in an account?

   A. Increase in assets
   B. Increase in capital
   C. Decrease in capital
   D. Decrease in liabilities

5. An accounting summary that shows the trading performance of a business is known as

   A. trial balance.
   B. balance sheet.
   C. capital account.
   D. income statement.

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6. The following are the year end balances in Rashid's ledger.

Particulars	Amount (Rs)
Sales	50,000
Purchases	20,000
Building	75,000
Bank overdraft	15,000
Stock	5,000
Capital	35,000

The total of each side of the trial balance will be

A. Rs 50,000
B. Rs 65,000
C. Rs 100,000
D. Rs 210,000

7. In the balance sheet (statement of financial position), the ending stock is classified under

A. current assets.
B. current liabilities.
C. non-current liabilities.
D. fixed (non-current) assets.

8. In the trial balance, sales returns and purchases returns are classified under

	Sales Returns	Purchases Returns
A	Debit	Debit
B	Debit	Credit
C	Credit	Debit
D	Credit	Credit

9. The following information has been taken from the books of Duaa Enterprises.

Particulars	Amount (Rs)
Sales	220,000
Purchases	130,000
Opening stock	10,000
Ending stock	12,000

The amount of gross profit from the above information will be

A. Rs 90,000
B. Rs 92,000
C. Rs 128,000
D. Rs 132,000

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10. Which principle is applied, when a business maintains a provision for depreciation on non-current assets?

    A. Matching
    B. Materiality
    C. Consistency
    D. Going concern

11. Bushra understands that her business will do better if she hires new and highly skilled staff.

    The accounting principle which prevents her from recording this in her balance sheet (statement of financial position) is known as

    A. going concern.
    B. accounting entity.
    C. accounting period.
    D. money measurement.

12. A statement that is sent by a business to its credit customers as a summary of the transaction for the month is known as

    A. receipt.
    B. debit note.
    C. credit note.
    D. statement of account.

13. Assets and liabilities will both increase because of

    A. drawing by owner.
    B. payment to suppliers.
    C. purchase of car on credit.
    D. purchase of furniture on cash.

14. A debit balance in the depositor's cash book will be shown as a

    A. zero balance in the bank statement.
    B. debit balance in the bank statement.
    C. credit balance in the bank statement.
    D. overdraft balance in the bank statement.

15. Which of the following is recorded in the purchases ledger (account payable ledger)?

    A. Cash purchases
    B. Cash paid to suppliers
    C. Purchase of fixed assets
    D. Cheque received from a customer

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16. A business returned the goods to its supplier. This will be treated as

	Business	**Supplier**
A.	Asset	Expense
B.	Income	Asset
C.	Income	Expense
D.	Expense	Income

17. Amjad purchased goods worth Rs 50,000 from a supplier on credit term 2/10, n/30.

What will be the amount of discount received by Amjad if he pays the amount within discount period?

A. Rs 1,000
B. Rs 2,000
C. Rs 49,000
D. Rs 51,000

18. Which of the following could NOT be classified as sales income?

A. Goods sold for cash
B. Goods sold on credit
C. Income from the sale of services
D. Income from the sale of fixed (non-current) assets

19. Zafar returns goods purchased on credit from Alam. How would this transaction be recorded in Zafar's books?

	Debited	**Credited**
A	Alam	Purchases returns
B	Alam	Sales returns
C	Purchases returns	Alam
D	Sales returns	Alam

20. Hashim purchased a machine on January 01, 2015 for Rs 130,000.

It has an estimated life of 8 years and its salvage value will be Rs 10,000. Depreciation is calculated using the straight line method.

The net book value of machine at December 31, 2015 will be

A. Rs 112,500
B. Rs 113,750
C. Rs 115,000
D. Rs 117,000

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21. Alina purchased a vehicle on January 01, 2015 for Rs 90,000. Motor vehicles are depreciated at 20% per annum using reducing balance method.

    The amount of depreciation for the year ended December 31, 2015 will be

    A. Rs 9,000
    B. Rs 14,400
    C. Rs 18,000
    D. Rs 72,000

22. If equipment is bought on credit for resale purpose, then the equipment will be treated as

    A. current asset.
    B. current liability.
    C. non-current liability.
    D. fixed (non-current) asset.

23. Under reducing balance method, the amount of annual depreciation

    A. increases.
    B. decreases.
    C. remains same.
    D. cannot be calculated.

24. In case of a debt becoming bad, the amount should be credited to the

    A. sales account.
    B. bad debt account.
    C. account receivable's account.
    D. provision (allowance) for bad debts account.

25. The following balances have been extracted from the ledgers of Mehreen Enterprises.

Account receivables (Trade receivables) ledger	Rs 346,000 Debit
Provision (Allowance) for doubtful debts	Rs 13,020 Credit

    Business maintains provision for bad debts at the rate of 4% of the year end receivables balance.

    From the above information, the further amount that will be provided for provision for bad debts will be

    A. Rs 820
    B. Rs 1,000
    C. Rs 11,940
    D. Rs 13,840

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END OF PAPER

Please use this page for rough work

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